

At this early point, however, I had not achieved the next logical step in this type of reasoning: It is also necessary to learn as much as possible about the people who are running a company under investment considerations, either by getting to know those people yourself or by find-ing someone in whom you have confidence who knows them well.

As 1929 started to unfold, I became more and more convinced of the unsoundness of the wild boom that seemed to be continuing. Stocks continued climbing to ever higher prices on the amazing theory that we were in a “new era.” Therefore, in the future, year after year of advancing per-share earnings could be taken as a matter of course. Yet as I tried to appraise the outlook for America's basic industries, I saw a number of them with supply-demand problems that seemed to me to indicate their outlook was getting rather wobbly.

In August of 1929 I issued another special report to the officers of the bank. I predicted that the next six months would see the beginning of the greatest bear market in a quarter of a century. It would be very satisfying to my ego, if at this point, I could alter drastically the tale of just what happened and leave the impression that, having been exactly right in my forecasting, I then profited greatly from all this wisdom. The facts were quite to the contrary.

Even though I felt strongly that the whole stock market was too high in those dangerous days of 1929, I was nevertheless entrapped by the lure of the market. This caused me to look around to find a few stocks that “were still cheap” and were worthwhile investments because “they had not gone up yet.” As a result of the small profits from the tiny amount of stock transactions a few years back and the saving of a good part of my salary, plus some money I had earned in college, I managed to scrape together several thousand dollars as 1929 went along. I divided this almost equally among three stocks which, in my ignorance, I thought were still undervalued in that overpriced market. One was a leading locomotive company with a still quite low price-earnings ratio. With railroad equipment being one of the most cyclical of all industries, it takes very little imagination to see what was to happen to that company's sales and profits in the business depression that was about to engulf us. The other two were a local billboard company and a local taxicab company, also selling at very low price-earnings ratios. In spite of my success in ferreting out what was